CASEBLITZ

TEAM CODE

YNQJ-EPFC

Ascend

College students in Hyderabad earn irregularly and spend heavily

Ishaan

College Student

About

20 · Bachelor's · Hyderabad · Student

Ishaan is a **2nd year Engineering student**. Gets **₹6,000 a month** from his **parents** and a little more (assumption : **₹2,000**) from **social media handling** for small shops, which is irregular. **Spends heavily** on **food delivery, clothes and regular college expenses.** His major form of transaction is through UPI or debit cards but he doesn't get good returns or rewards using them. He **wants a new phone** for his social media work. He is **interested in cashback and discounts** that credit cards offer but has **no formal credit history.** His **parents support** him financially **but** are **cautious of credit cards**, so he **needs a safe way** to build a **good credit score** without falling in the debt trap.

Motivations

- He **wants Independence** . He doesn't want to ask his parents for each purchase.
- **Rewards** that he can earn.
- **Wants to build** a **credit score** before his first job.
- Wants **finance knowledge**, but **not** from **a boring app.**

Goals

- Get **discounts** on daily purchases **via credit card.**
- Wants to purchase a **new phone** worth **₹20,000.**
- **Doesn't want** to **depend** on **parent's card** or instant loan.
- Wants to **earn higher credit** score and **credit limits** through consistent repayments.

Pain Points

- Have very **basic financial knowledge.**
- Heavily dependent on money sent by family.
- **No established credit history** so it makes it difficult for banks to trust him.
- Has constant fear of **getting trapped in debt trap** and unable to repay.
- **Doesn't have privacy** towards his spends since earlier he is dependent on family.
- Finding the best discount or cashback is difficult since it is way too fragmented.

Why Ishaan ?

~80%
Young applicants rejected
Valid for Ishaan not Kabir

Under 10%
Have any credit history
Valid for Ishaan

~90%
Use UPI
Valid for Ishaan

₹4k–₹15k
Student monthly income range
Valid for Ishaan and not Kabir

Ishaan comes in the middle of Aarav and Priya but doesn't incline towards any one.

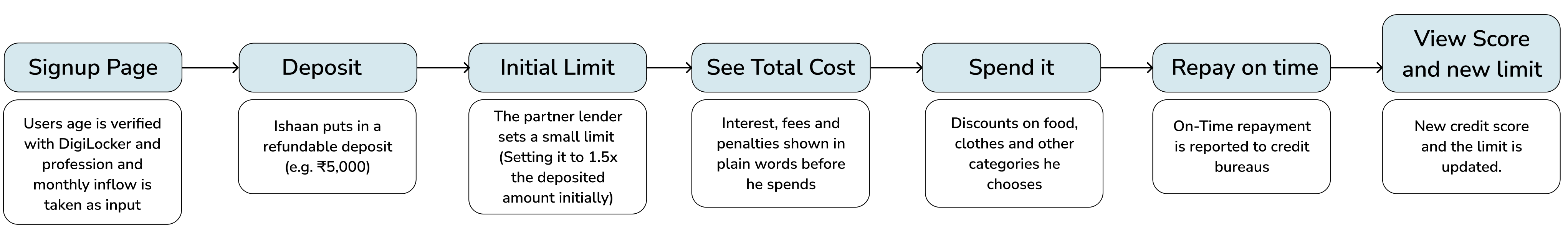
- Ishaan helps **focus on the issue of credit history** right from the start.
- Ishaan **allows testing if a structured and controlled path**, to getting credit works.
- Ishaan gives a way to see how someone moves **from having no credit history to showing they can repay loans on time**.

He is at the point where there is a problem, with getting credit **a specific group of students and a product that can be tested**. By starting with exposure and checking how people pay back Ascend can prove that **its way of helping people build credit works** before expanding to other types of people.

Ascend

MVP: That works on a single deposit and a journey to build credit

The Journey



1. **Signup Page** → Users age is verified with DigiLocker and profession and monthly inflow is taken as input
2. **Deposit** → Ishaan puts in a refundable deposit (e.g. ₹5,000)
3. **Initial Limit** → The partner lender sets a small limit (Setting it to 1.5x the deposited amount initially)
4. **See Total Cost** → Interest, fees and penalties shown in plain words before he spends
5. **Spend it** → Discounts on food, clothes and other categories he chooses
6. **Repay on time** → On-Time repayment is reported to credit bureaus
7. **View Score and new limit** → New credit score and the limit is updated.

What's in?

- **A small credit limit** from a bank or lender we partner with (Ascend does not lend the money).
- **Discounts and rewards** on the things he already buys, like food and clothes etc.
- **Multiple reminders** before the payment is due.
- A complete **transparent cost sheet shown** so there is nothing we are hiding and nothing for the user's surprise.
- Short **"Did you know?" tips** that show up in the website or the application when it is turning on or randomly before a due date etc.
- He **sets his own limit**. If he misses a payment, new spending pauses.

What we left out (maybe in future)

- **Partnership with multiple banks** in the very beginning would be hard to manage so we **partner with one and expand our domain later on**.
- There rises **no question of which card is best** for a particular purchase since the user gets only one card to choose in the beginning.
- Leaving out bigger limits in the beginning.
- **Attractive rewards** (eg : Spend 5000 this month and get 500 off) results in the user spending more than he actually needs . They can be introduced later on.
- **Short custom videos**, after we see which topics users actually need.

All the data (1.5x initial limits) are just illustrative and assumption (real data must be decided with the leading partners.)

Ascend

We trust through a deposit and consented cash flow, not a credit score

Underwriting of the User

As **8 in 10 young applicants** are rejected by traditional banks, Ascend cannot rely on standard checks or salary slips. Instead, we will implement a **two-factor underwriting model** that evaluates the user's **intent** (via the deposit) and **capability** (via past transaction history).

Trust via Collateral

- The **₹5,000 refundable security deposit** acts as the **baseline layer of trust**
- It will also help to gain the trust of **lending partner** (Bank or NBFC)

Verifying Capability

- Tracking how much **inflow** actually comes to user through **past bank statements**
- Also verifying student from **college ID**

Risks and Mitigations

Risks	Mitigations
Student overspends due to increase in credit limit	If there is rise in purchase amount in a week his **further growth will be locked** and a **soft pop-up** will remind him about overspending and give a **financial advice**
If inflow of student decreases after increase in limit	There will be checking in **each 2-3 months** on inflow of user, if there is drop in inflow then **limit increment is froze** until it recovers its **original inflow**
If user is unable to repay the amount and it cut through deposite	User will be provided by a **grace period** to recover his deposit and if he fails to do, then their will be **penalties** which would be **informed earlier**
Student doesn't understand the terms	The terms and all the charges are informed to the user in **each invoice** clearly and their are **no hidden charges**. Refer to slide 2.

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Every decision has its own problems, so we plan accordingly

Decision 1:

One starter credit line with a refundable deposit

What it solves?

It helps us solve the problem where there was no credit because of **no earlier credit history** (basically **breaking the loop**)

New Problem that arises

There is a initial phase where the user(student) has to **deposit a certain amount** so many users tend to **drop off** at that stage.

Measure that we take

The user picks the amount, it's **small and refundable**. We track how many leave at the deposit step.
(Eg: If more than **40%** drop off there, we lower the minimum deposit.)

Decision 2:

A cap on how high the limit can go

What it solves?

This feature helps the user by **preventing them from overspending** since there is a **cap on how much you can credit**.

New Problem that arises

The **limit can be too low** for few users who can **repay the debt well** .

Measure that we take

Clearly stating **how long it will take** for a user to reach a certain milestone of unlocking the amount of credit value .
We track **how many good users leave** at this stage.
(Eg : If more than **15%** of them leave within **6 months**, the lender reviews the cap.)

Decision 3:

Multi-bank partner network

What it solves?

Gives users access to **relevant credit-card offers** across **multiple regulated bank partners**, while helping them **build credit** with Ascend.

New Problem that arises

Too many offers and credit lines may **confuse users** or encourage **credit stacking**.

Measure that we take

Show the **best eligible card/offer** by purchase category, explain terms upfront, and recommend only suitable products. Track **offer savings**, **on-time repayment**, and delinquency-not spending volume.

How the decisions affect one another

- Deposit and cap **reduce lender risk**, but they also **limit access**. Some students who require credit can't **afford a deposit**, and others will **exceed the cap**.
- Offers bring people in but they work against the cap. The incentive offers the more the cap and the repayment checks have to be kept in place.
- This restriction could cause some decent customers to pull out. Should it be too low, they could re-use the **immediate loans apps**, so the visible conditions to use up are significant.

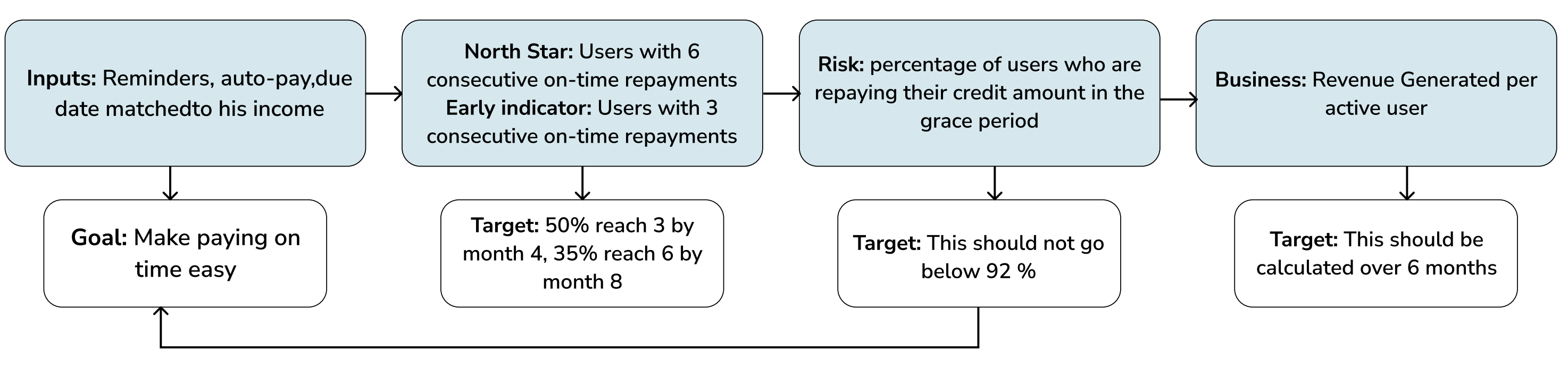
How we came up with these numbers for the measures

- **Decision 1** : We chose **40%** as the point where it stops being normal friction and means the deposit is **too steep**.
- **Decision 2** : A bank wants a **clean record of 12 months** . Failing to repay **more than twice out of 12** could be problematic.
- **Decision 3:** About **1 in 3 BNPL users** miss at least one repayment, so a single missed payment would trigger too often.

Ascend

We earn when users repay on time, not when they struggle

Stage	Stream	Who pays	Why it doesn't rely on struggle
Month 0 onwards	Fee on performing accounts (core)	lending partners	We only get paid when the student **repays on time**. If he pays late, we **earn nothing**.
Month 1 onwards	Share of card economics	lending partners	We earn a **fixed amount per user**, so it doesn't matter **if he spends more**.
Month 1 onward	Merchant-funded offers	higher banks in the market	**Brands pay us** only for things he was **already going to buy**, so we **never push him to spend extra**.
Month 12+	Graduation referral	Larger partner bank	We only refer students with a **clean repayment record**, and only if they **say yes**.



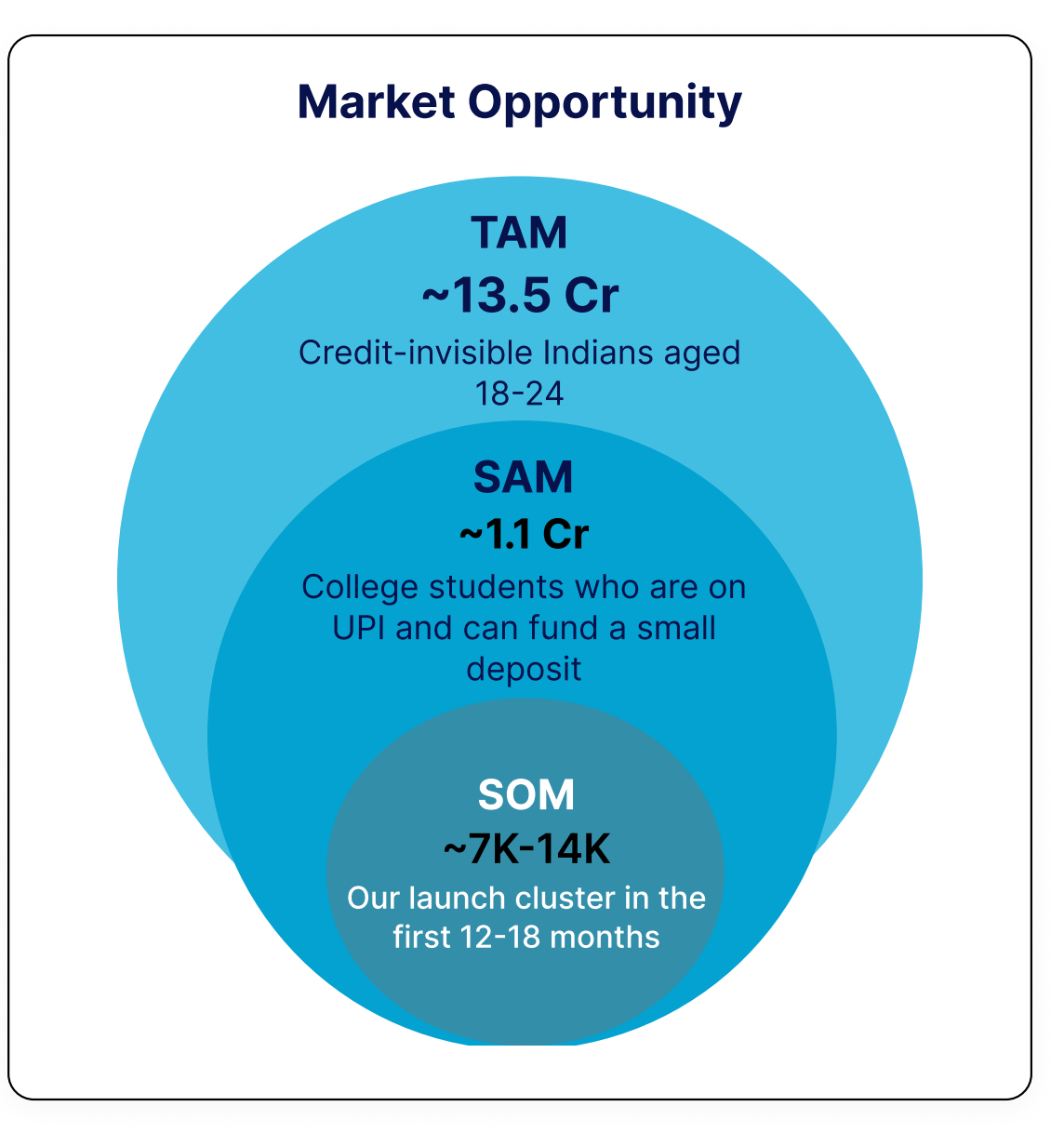
Inputs: Reminders, auto-pay,due date matchedto his income → **Goal:** Make paying on time easy

North Star: Users with 6 consecutive on-time repayments
Early indicator: Users with 3 consecutive on-time repayments → **Target:** 50% reach 3 by month 4, 35% reach 6 by month 8

Risk: percentage of users who are repaying their credit amount in the grace period → **Target:** This should not go below 92 %

Business: Revenue Generated per active user → **Target:** This should be calculated over 6 months

Market Opportunity



TAM **~13.5 Cr**	**~13.5 Cr Credit-invisible Indians aged 18-24**. 15 crore × ~90% with no credit history Theoretical revenue pool: ~₹4,000 Cr a year at ₹300 per user
SAM **~1.1 Cr**	**~1.1 Cr college students** we could serve: credit-invisible, on UPI, and able to fund a small deposit. 5 crore × 30% in higher education × 90% × 90% on UPI × 30% deposit-capable. **Theoretical pool: ~₹330 Cr a year**.
SOM **~7K-14K**	**~7K-14K** users in our **launch cluster** over 12-18 months About 5 lakh students × 90% × 30% deposit-capable× 5-10% capture . **Revenue: ~₹30 lakh a year**.

Data taken here is mentioned in the problem statement and few are clear assumptions

Thank You